

Know Your Customer



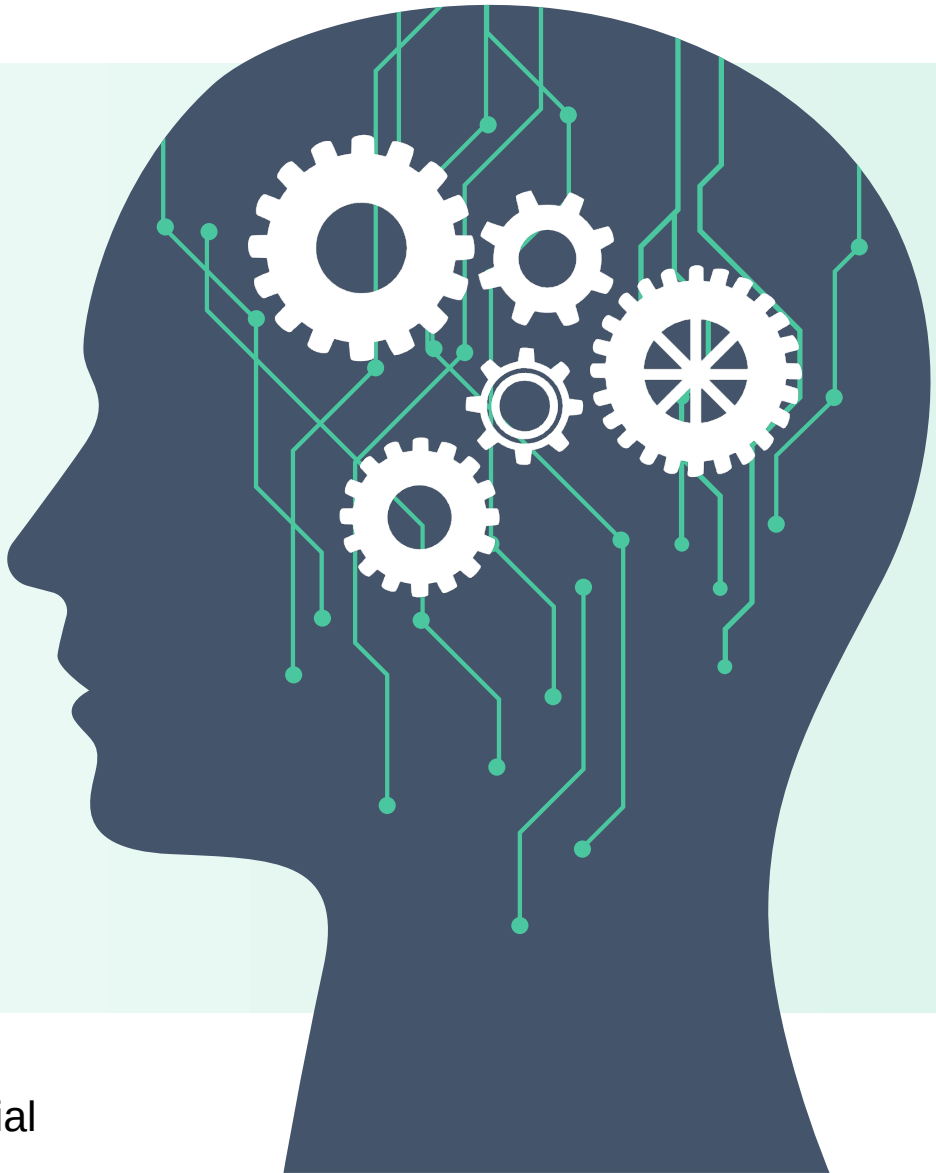
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YOU ARE GOING TO LEARN…

- Know Your Customer
- Customer Acceptance Policy
- Customer Identification Procedure
- Customer Risk Rating
- Customer Due Diligence



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Basics of KYC



OVERVIEW

Among the ‘banking scandals’ discussed earlier, which do you think triggered the **need** for ‘KYC’ norms?

Are KYC requirements **only restricted** to the banking and financial services industries?

What should constitute a **comprehensive** KYC process?

Know Your Customer

- The KYC stands for "**Know Your Customer**", a regulatory and legal process used by banks, financial institutions, and other regulated entities to verify the identity of their clients. It involves collecting and validating personal information such as name, date of birth, address, and government-issued identification documents.
- The main objective of KYC is to prevent financial crimes including money laundering, terrorist financing, fraud, and identity theft. KYC procedures are mandated by laws and regulations such as AML (Anti-Money Laundering) frameworks globally.
- It typically includes customer identification, risk assessment, and ongoing monitoring of transactions to detect suspicious activities



WHY KYC IS IMPORTANT ?

KYC, or "Know Your Customer," is a process that businesses and organizations use to verify the identity of their customers and assess their potential risks of illegal or unethical activities. KYC is important for several reasons

1

Compliance with legal and regulatory requirements: KYC helps businesses comply with anti-money laundering (AML) and counter-terrorist financing (CTF) laws and regulations, which require financial institutions to identify and verify their customers' identities.

2

Prevention of fraud and financial crimes: KYC helps prevent fraud and financial crimes, such as identity theft, money laundering, terrorist financing, and tax evasion, by identifying and verifying customers' identities and assessing their potential risks.

3

Protection of reputation: KYC helps businesses protect their reputation by avoiding involvement in illegal or unethical activities and ensuring that they are doing business with legitimate customers.

4

WHY KYC IS IMPORTANT ?

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Mitigation of operational risks: KYC helps businesses mitigate operational risks, such as credit risk, legal risk, and reputational risk, by ensuring that they are doing business with customers who are financially stable and reputable.

5

Enhanced customer experience: KYC helps businesses provide an enhanced customer experience by making it easier and faster for customers to open accounts, access financial services, and conduct transactions.

6

Business reputation: KYC helps to maintain the reputation of businesses by demonstrating their commitment to preventing financial crimes and protecting their customers from fraud. This can help to build trust and confidence among customers and investors.

7

KYC is important because it helps businesses comply with legal and regulatory requirements, prevent fraud and financial crimes, protect their reputation, mitigate operational risks, and enhance the customer experience.

8

ESSENTIAL ELEMENTS OF KYC STANDARDS

The elements essential for a robust KYC program:

- Establish the identity of their customers
- Customer Identification
- Customer Acceptance Policy
- Ongoing monitoring of high risk accounts
- Risk Management



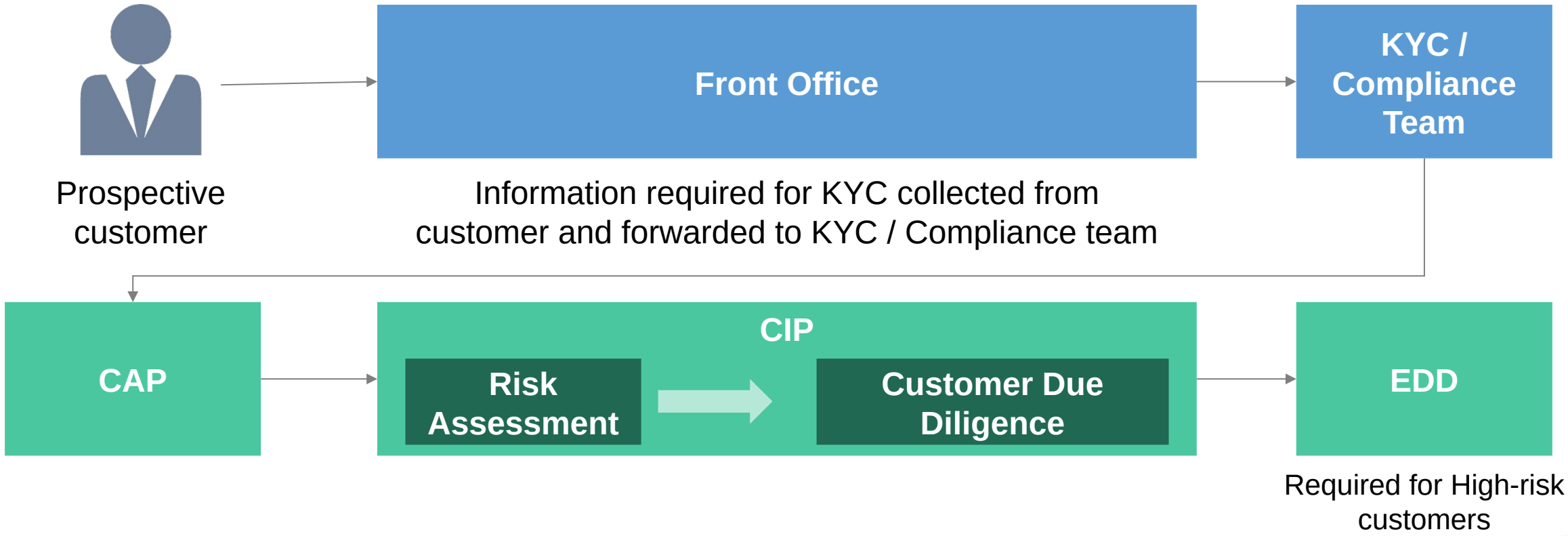
- Monitor their account activity

Determine those transactions that do not conform with the normal or expected transactions.

KYC to be a core feature of banks' risk management and control procedures where a bank should:

KYC PROCESS: STEPS INVOLVED

Customer Onboarding (For new clients)



Account will be opened only after all checks have been conducted and approval from AML Compliance Officer has been obtained

KYC PROCESS: STEPS INVOLVED

Maintenance of Relationship (For new & existing clients)

A structured and comprehensive CDD process helps predict expected behavior and 'flag' unexpected behavior

KYC / Compliance Team

Unexpected behavior by the customer will require increased scrutiny

SAR Filing

Suspicious behavior (activity) to be reported through Suspicious Activity Report

Update CDD

If behavior is legitimate, CDD needs to be updated

Are any checks required when 'off boarding' a customer?



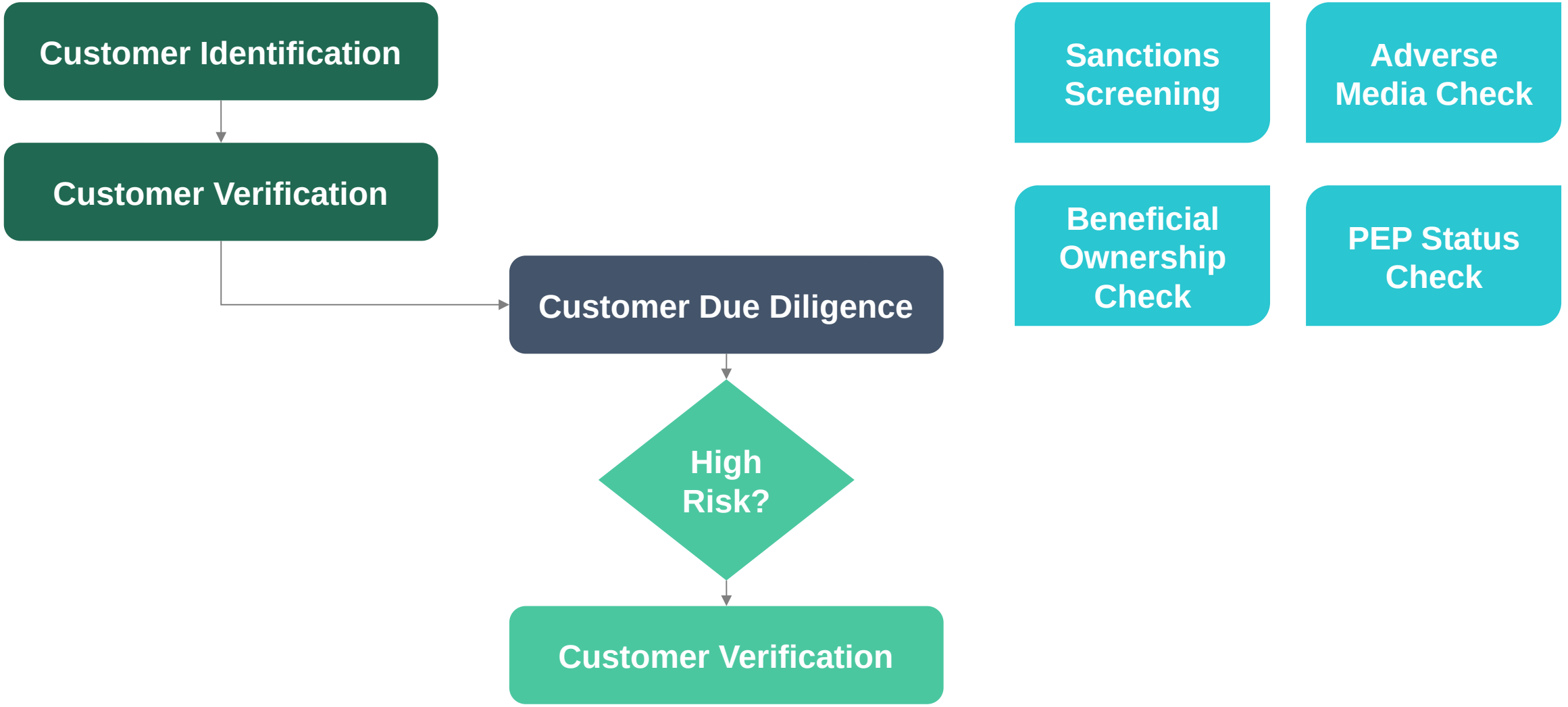
Customer Identification Procedure

INTRODUCTION TO CUSTOMER IDENTIFICATION PROCEDURE

Banks should establish a systematic procedure for identifying new customers and should not establish relationship until the identity of a new customer is satisfactorily verified.



ON-BOARDING CHECKS: IDENTIFICATION VS. VERIFICATION



CUSTOMER IDENTIFICATION PROCEDURE

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Customer identification procedure should identify:

The person or entity that maintains an account with the bank or those on whose behalf an account is maintained (i.e. Beneficial owners).

The beneficiaries of transactions conducted by professional intermediaries.

Any person or entity connected with a financial transaction who can pose a significant reputational or other risk to the bank.



CUSTOMER IDENTIFICATION PROGRAMME

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Risk-based | **Formally documented** | **Part of AML Program**

1. Notify Customer	2. Gather information	3. Verify information	4. Conduct Risk Rating Sanctions Screening	5. Maintain records
Provide adequate notice to new customers on information required to verify their identities. Such notification must be given before the account is opened.	Minimum requirement of CIP information to be collected for individual & non individual customers.	A firm need not establish the accuracy of every element of information obtained from the customer, but must verify enough information to form a reasonable belief that it knows the true identity of the customer.	Firms should assess risk through risk scoring . Firms should screen their new customers against OFAC and other sanctions lists and databases.	Firms should retain any information and data obtained for identifying customers.

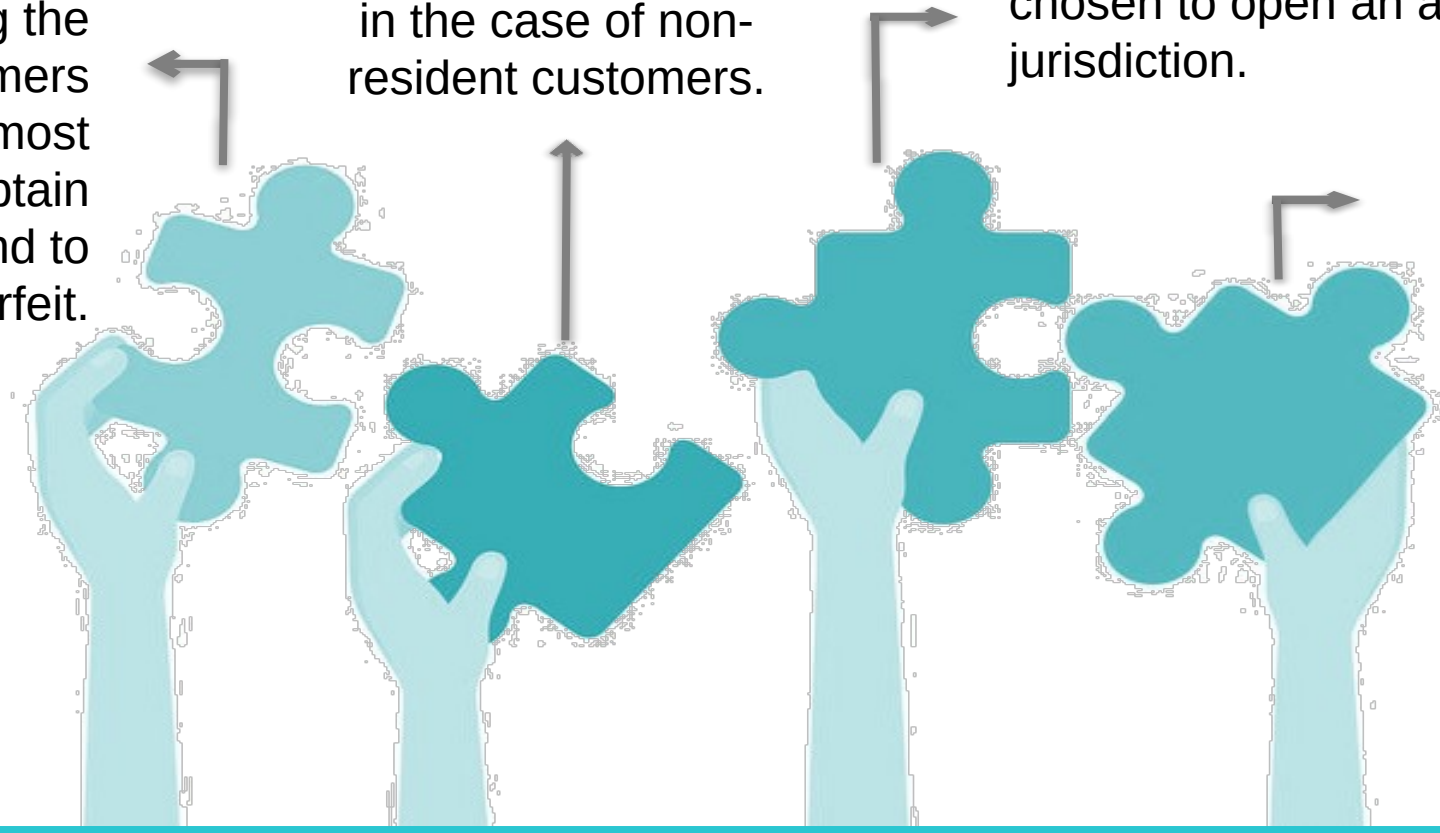
CUSTOMER IDENTIFICATION PROCEDURE - DOCUMENTATION

The best documents for verifying the identity of customers are those most difficult to obtain illicitly and to counterfeit.

Special attention should be exercised in the case of non-resident customers.

The bank know why the customer has chosen to open an account in a foreign jurisdiction.

The extent & nature of the information depends on the type of applicant (personal, corporate, etc.) & the expected size of the account.



After opening an account, if a problem of verification arise, which cannot be resolved, then the bank should close out the account.

CUSTOMER IDENTIFICATION PROCEDURE – REMEMBER

Banks should never agree to open an account or conduct ongoing business with a customer who insists on anonymity or who gives a fictitious name.

Confidential numbered accounts should not function as anonymous accounts but they should be subject to exactly the same KYC procedures as all other customer accounts, even if the test is carried out by selected staff.

A numbered account can offer additional protection for the identity of the accountholder, the identity must be known to a sufficient number of staff to operate proper due diligence.



Such accounts should in no circumstances be used to hide the customer identity from a bank's compliance function or from the supervisors.

CUSTOMER IDENTIFICATION PROCEDURE – DO'S & DON'TS

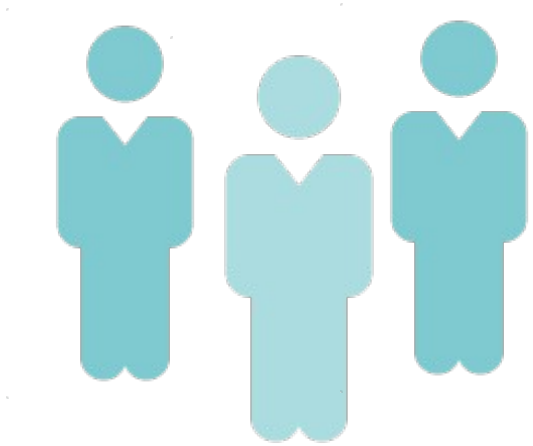


A bank should follow the same customer identification procedure even if the account of a customer is transferred from another bank which has a robust KYC program in place.

If the bank has any reason to believe that an applicant is being refused banking facilities by another bank, it should apply enhanced diligence procedures to the customer.

KYC PROCESS: CUSTOMER IDENTIFICATION

Verification of Information





Documentary	Involves comparing information provided by the customer against official government-issued, state-issued or reputable agency-issued documentation, registration, and licenses.
Non-documentary	Involves validating the customer's identity using third parties or other non-document reports

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Customer Acceptance Policy



CUSTOMER ACCEPTANCE POLICY (CAP)

Banks should have a customer acceptance policies and procedures (CAP).



Factors considered in the CAP are:

- **Customers' Background**
- **Country of origin**
- **Public / High profile position**
- **Linked accounts**
- **Business activities**
- **Other risk indicators**

CUSTOMER ACCEPTANCE POLICY (CAP)

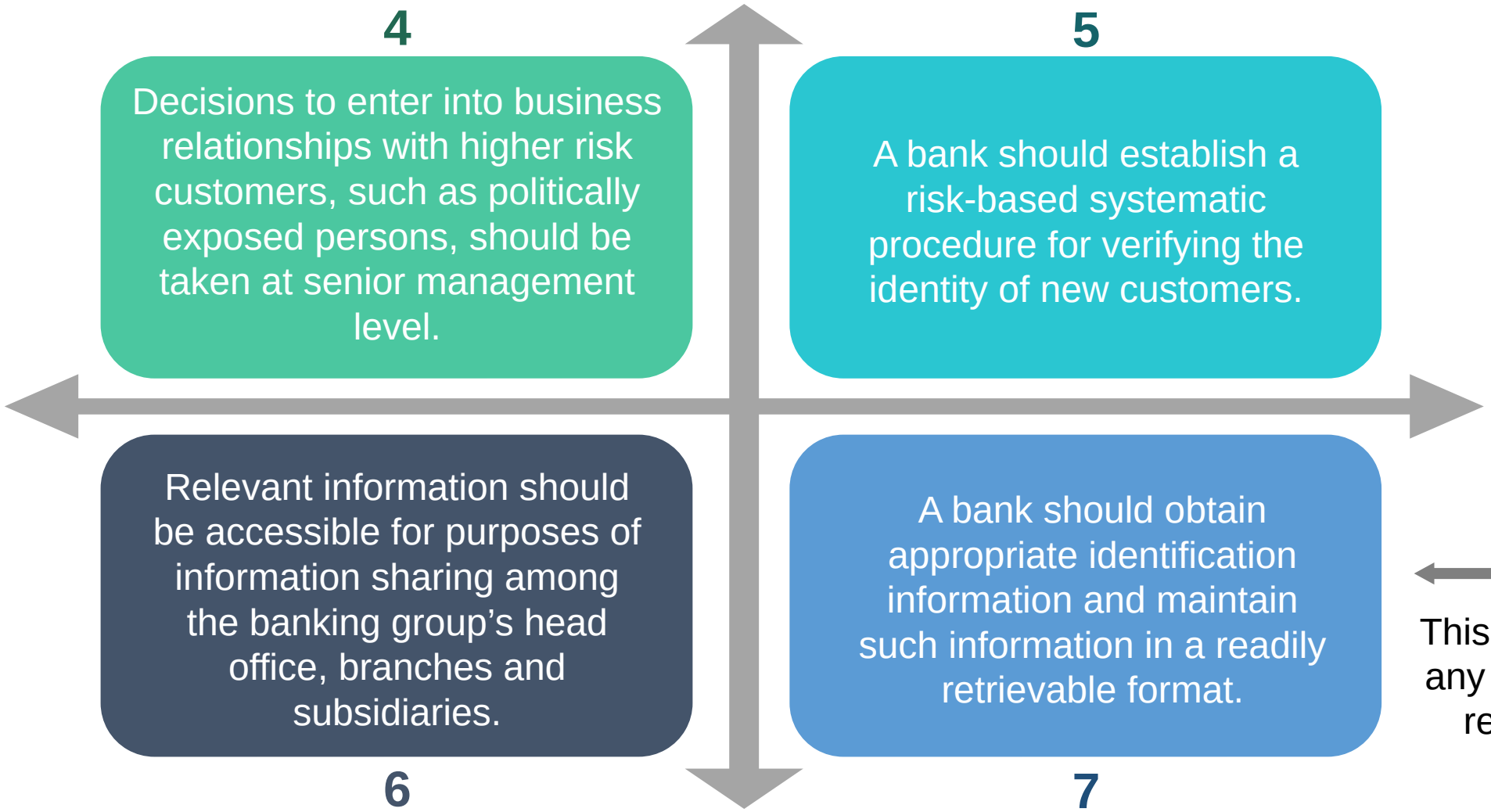
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1. The customer acceptance policies and procedures should be commensurate to the level of risk of the customer.

2. A high-risk customer, such as a high net worth individual, whose source of funds is unclear, typically would have a more extensive due diligence procedure.

3. Care should be taken to ensure that the customer acceptance policy does not become restrictive that it results in a denial of access for people who are financially or socially disadvantaged.

CUSTOMER ACCEPTANCE POLICY (CAP) (CONTD.)



This may also fulfill any local reporting requirements.



Customer Risk Rating

Risk Basing of AML/CFT Program

An **AML/CFT** program should be risk-based. Certain aspects of a financial institution's business will pose greater money laundering risks than others and will require additional controls to mitigate those risks, while others will present a minimal risk and will not need the same level of attention. The Financial Action Task Force (FATF), along with numerous member countries, such as the UK and United States, urge risk-based controls.

As per FATF, there are circumstances where the risk of money laundering or terrorist financing is higher, and enhanced customer due diligence (CDD) measures have to be taken.

A risk-based approach requires financial institutions to have systems and controls that are commensurate with the specific risks of money laundering and terrorist financing facing them. Assessing this risk is, therefore, one of the most important steps in creating a good AML/CFT compliance program. As money laundering risks increase, stronger controls are necessary. However, all categories of risk—whether low, medium or high—must be identified and mitigated by the application of controls, such as verification of customer identity, customer due diligence policies, suspicious activity monitoring and economic sanctions screening.



Private and Confidential

Advantages of a Risk-Based Approach

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Flexible	Effective	Proportionate
Because as money laundering and terrorist financing risks vary across jurisdictions, customers, products and delivery channels and over time;	Because as companies are better equipped than legislators to effectively assess and mitigate the particular money laundering and terrorist financing risks they face;	Because a risk-based approach promotes a common sense and intelligent approach to fighting money laundering and terrorist financing as opposed to a check-the-box approach. It also allows firms to minimize the adverse impact of anti-money laundering procedures on their low-risk customers. The theory is that no financial institution can reasonably be expected to detect all wrongdoing by customers, including money laundering. But if a financial institution develops systems and procedures to detect, monitor and report the riskier customers and transactions, it will increase its chances of staying out of harm's way from criminals and from government sanctions and penalties.

When assessing risk, FATF recommends considering the following points

1

Customer risk factors such as nonresident customers, cash-intensive businesses, complex ownership structure of a company and companies with bearer shares;

2

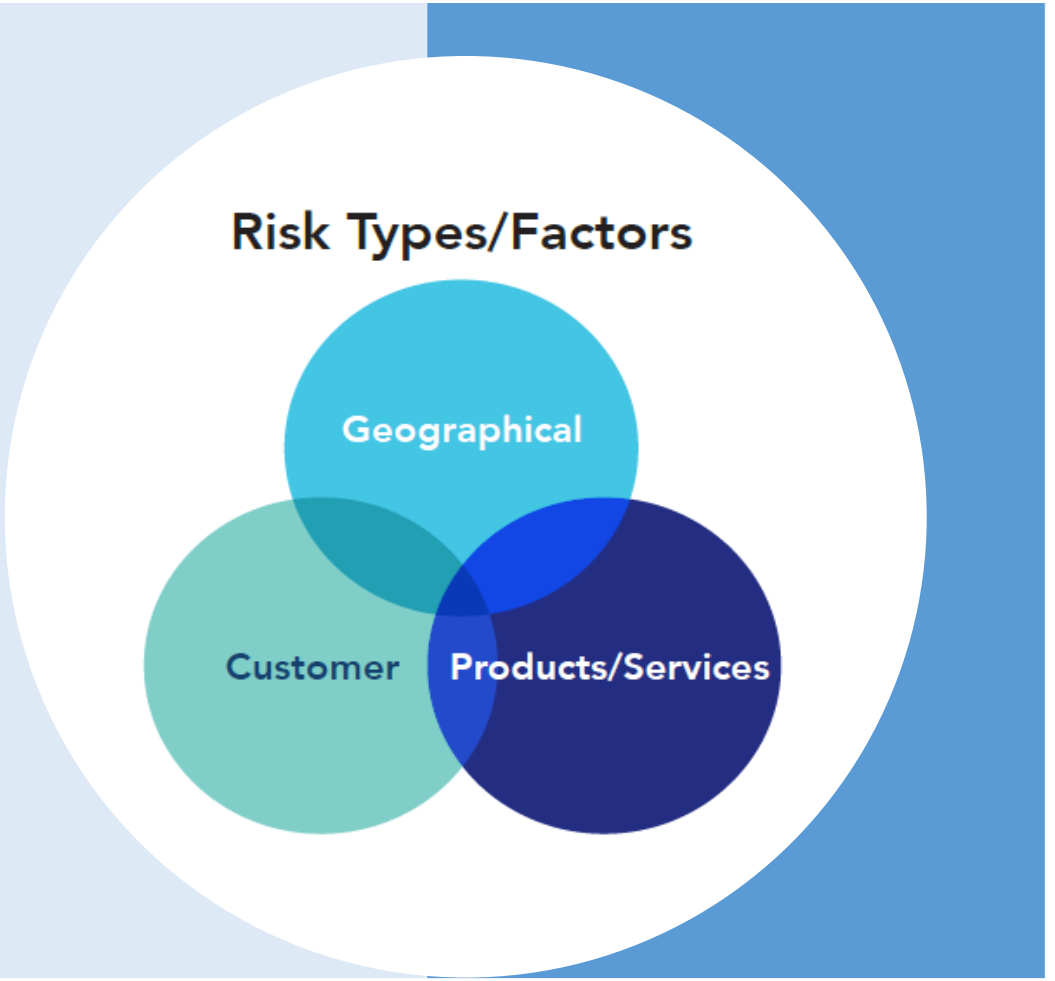
Country or geographic risks such as countries with inadequate AML/CFT systems, countries subject to sanctions or embargos, countries involved with funding or supporting of terrorist activities or those with significant levels of corruption

3

Product, service, transaction or delivery channel risk factors such as private banking, anonymous transactions and payments received from unknown third parties.

AML/CFT Risk Identification

The core of a risk-based approach includes the assessment of risk of a financial institution's customers, geography locations and its products/services. Below is a deeper look into the three important risk factors.

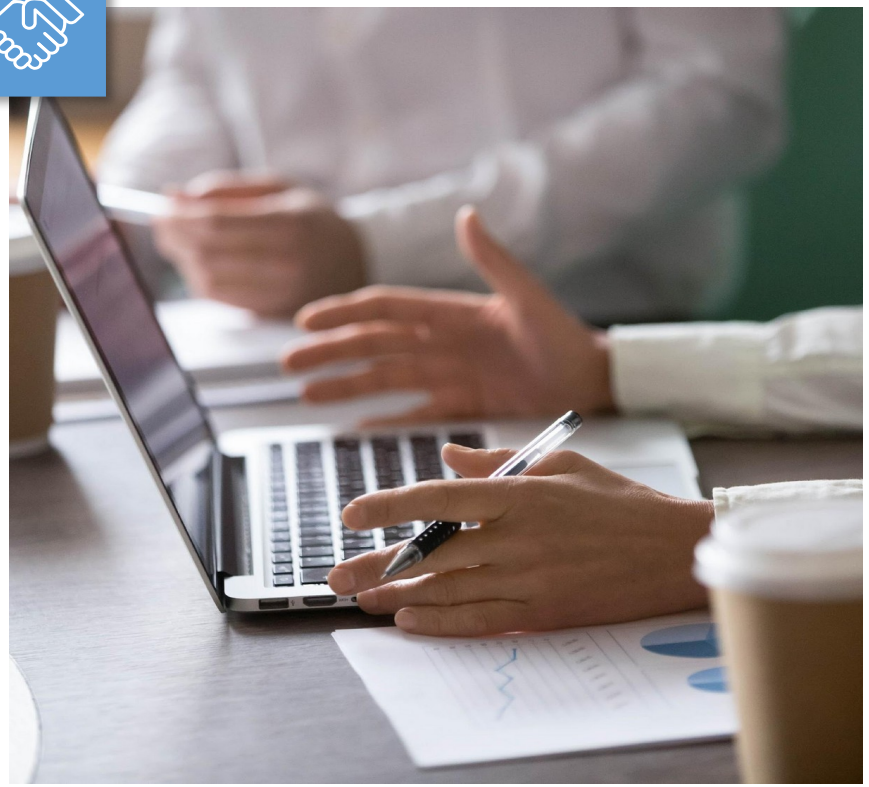


CUSTOMER TYPE

A vital step in a risk assessment is the analysis of the users of the products and services that the institution or business offers.

Customer types can include individuals, listed companies, private companies, joint ventures, partnerships and financial institutions; basically, anyone who wants to establish a relationship with the financial institution.

- Customers who have a history of involvement in criminal activities receive the highest ratings. Political figures, or those in political organizations, also score toward the top of the scale.
- Multinational public corporations tend to score lower than private companies because there is much more publicly available information and due diligence conducted on a corporation listed on a major stock exchange.
- Risks are generally higher if a money launderer can hide behind corporate vehicles, such as trusts, charities, limited liability companies or structures, where it is difficult to identify the beneficial owners of the entities.



CUSTOMER TYPE

The risk is even higher if corporations are based in countries with inadequate anti-money laundering requirements or strict corporate secrecy protections. Supervisory authorities in various countries have stated that some types of customers are inherently high-risk for money laundering.

They include the following.

- Banks
- Casinos
- Offshore corporations and banks located in tax/banking havens
- Embassies
- MSBs, including currency exchange houses, money remitters, check cashers
- Virtual currency exchanges
- Car, boat and plane dealerships
- Used-car and truck dealers and machine parts manufacturers;
- Professional service providers (attorneys, accountants, investment brokers and other third
- parties who act as financial liaisons for their clients)
- Travel agencies
- Broker/dealers in securities
- Jewel, gem and precious metals dealers
- Import/export companies
- Cash-intensive businesses (restaurants, retail stores, parking)

GEOGRAPHIC LOCATION

A crucial step in devising a risk-scoring model involves **jurisdictional risk**. In what countries or jurisdictions do your individual customers reside and what are the customers' countries of citizenship?

Where are your corporate customers headquartered and where do they conduct the majority of their business?

There is no definitive, independent system for assessing the money laundering risks of various territories and countries. Some firms will devise their own methods; others will look to a vendor solution. Whichever course is chosen, it is essential that the risk-rating methodology be documented. In larger organizations, the overall risk-management strategy may require the outputs of the ML/TF risk model to be formally reviewed and endorsed by executive/senior management.

When looking specifically at money laundering risk, the terrorism and sanctions lists published by governments and international organizations can be a useful starting point. These include lists published by the United Kingdom's Financial Conduct Authority (FCA), U.S. Office of Foreign Assets Control (OFAC), the U.S. Financial Crimes Enforcement Network (FinCEN), the European Union (EU), the World Bank, the United Nations Security Council and each local jurisdictions' regulatory and law enforcement agencies, such as the Indonesia National Counter Terrorism Agency (BNPT).

A model should also take into account **whether the country is a member of FATF or of a FATF-style regional body** and has AML/CFT requirements equivalent to international best practices.



GEOGRAPHIC LOCATION

Companies might also consider the overall reputation of the countries in question. In some, cash may be a standard medium of exchange. Others may have politically unstable regimes and high levels of public or private sector corruption. Some may have a reputation as bank secrecy havens. Still, others may be widely known to have high levels of internal drug production or to be in drug transit regions. How can one identify such countries?

- The U.S. State Department issues an annual International Narcotics Control Strategy Report rating more than 100 countries on their money laundering controls.
- Transparency International publishes a yearly Corruption Perceptions Index, which rates more than 100 countries on perceived corruption.
- FATF identifies jurisdictions with weak AML/CFT regimes and issues country-specific Mutual Evaluation Reports.
- In the United States, certain domestic jurisdictions are evaluated based on whether they fall within government-identified higher risk geographic locations such as **High Intensity Drug Trafficking Areas (HIDTA) or High Intensity Financial Crime Areas (HIFCA).**
- Monitoring major news media is also recommended, and care should be taken that all of the country lists are monitored on a regular basis for changes.





PRODUCTS/SERVICES

- An important element of assessing AML/CFT risk is to review new and existing products and services that the institution or business offers to determine how they may be used to launder money or finance terrorism. The compliance officer should be an active participant in project teams identifying appropriate control frameworks for new products and systems.
- What products and services does your institution offer that may be vulnerable to money laundering or terrorist financing? Internet accounts? Private banking? Money transmittal services? Stock brokerage services? Annuities? Insurance products? Offshore services? Money orders? Correspondent banking?
- This risk rating, based on the type of product the customer seeks, is calculated using a number of product-related factors. Most notably, it depends on the likelihood that the product requested might be used for money laundering or terrorist financing. You probably won't see interest-rate swaps being used to finance terror, but securities may be another matter.



PRODUCTS/SERVICES

Product scoring is not universal because different financial institutions face varying degrees of risk.

Does a particular new or current product or service

- enable significant volumes of transactions to occur rapidly;
- allow the customer to engage in transactions with minimal oversight by the institution;
- afford significant levels of anonymity to the users;
- have an especially high transaction or investment value;
- allow payments to third parties;
- have unusual complexity; or
- require government verification of customer eligibility?

PRODUCTS/SERVICES

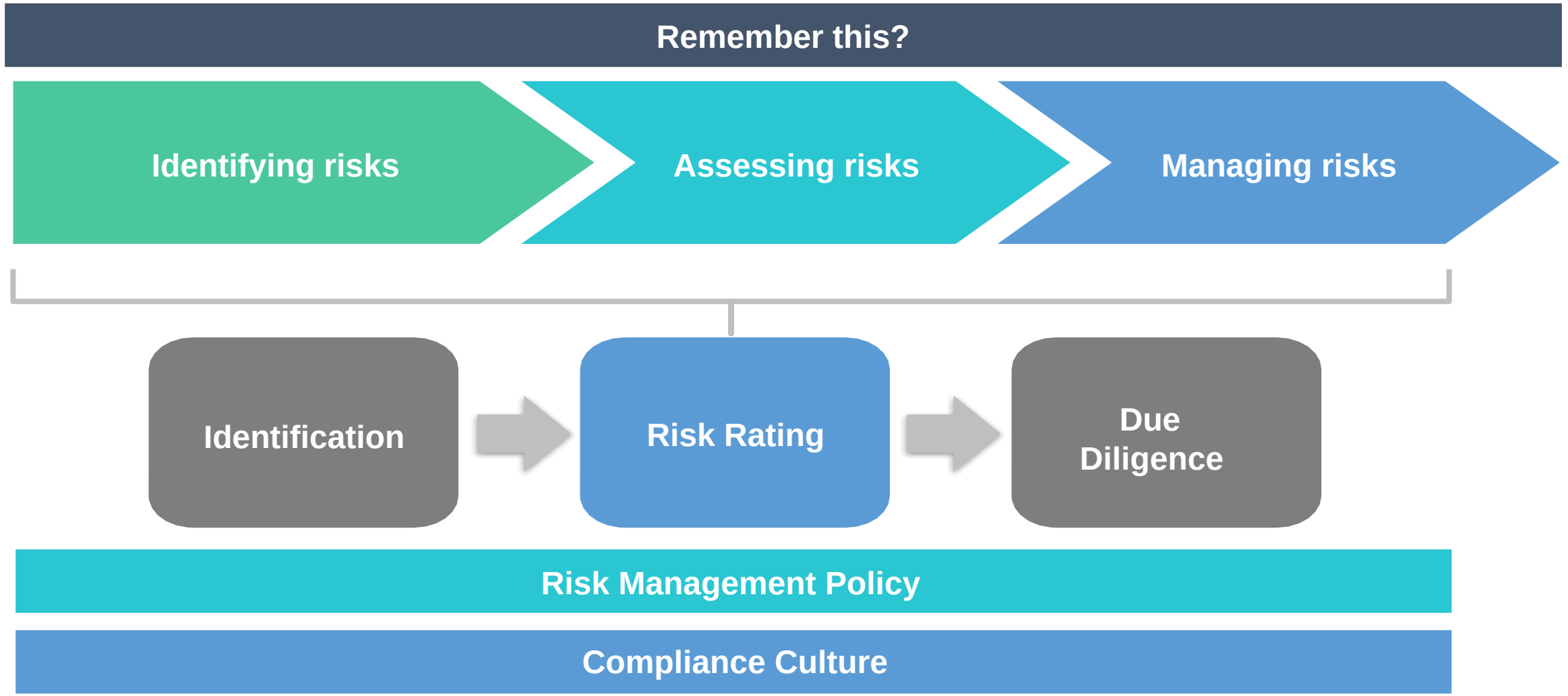
In addition, certain specific banking functions or products are considered high-risk.



These include the following.

- Private banking
- Offshore international activity
- Deposit-taking facilities
- Wire transfer and cash-management functions
- Transactions in which the primary beneficiary is undisclosed
- Loan guarantee schemes
- Traveler's checks
- Official bank checks
- Money orders
- Foreign exchange transactions
- International remittances
- Payment services such as payment processors; prepaid products, automatic clearing house (ACH)
- Remote deposit capture
- Trade-financing transactions with unusual pricing features
- Payable through accounts (PTAs)

CUSTOMER RISK RATING



LEVELS OF RISK



RISK CLASSIFICATION – LOW RISK

L1 L2 L3



LOW RISK:
Individuals (other than High Net Worth) and entities whose identities and sources of wealth can be easily identified and transactions in whose accounts by and large conform to the known profile.

The illustrative examples of low-risk customers could be:

- Salaried employees whose salary structures are well defined
- People belonging to lower economic strata of the society whose accounts show small balances and low turnover
- Government Departments & Government owned companies
- Regulators and statutory bodies

Only the basic requirements of verifying the identity and location of the customer shall be met.



RISK CLASSIFICATION – MEDIUM RISK

L1 L2 L3



MEDIUM RISK:

Customers that are likely to pose a higher than average risk to the bank may be categorized as medium or high risk depending on customer's background, nature and location of activity, country of origin, sources of funds and his client profile etc.

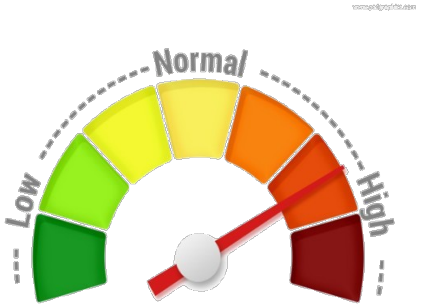
Persons in business/industry or trading activity where the area of his residence or place of business has a scope or history of unlawful trading/business activity.

Where the client profile of the person/s opening the account, according to the perception of the branch is uncertain and/or doubtful/dubious.



RISK CLASSIFICATION – HIGH RISK

L1 L2 L3



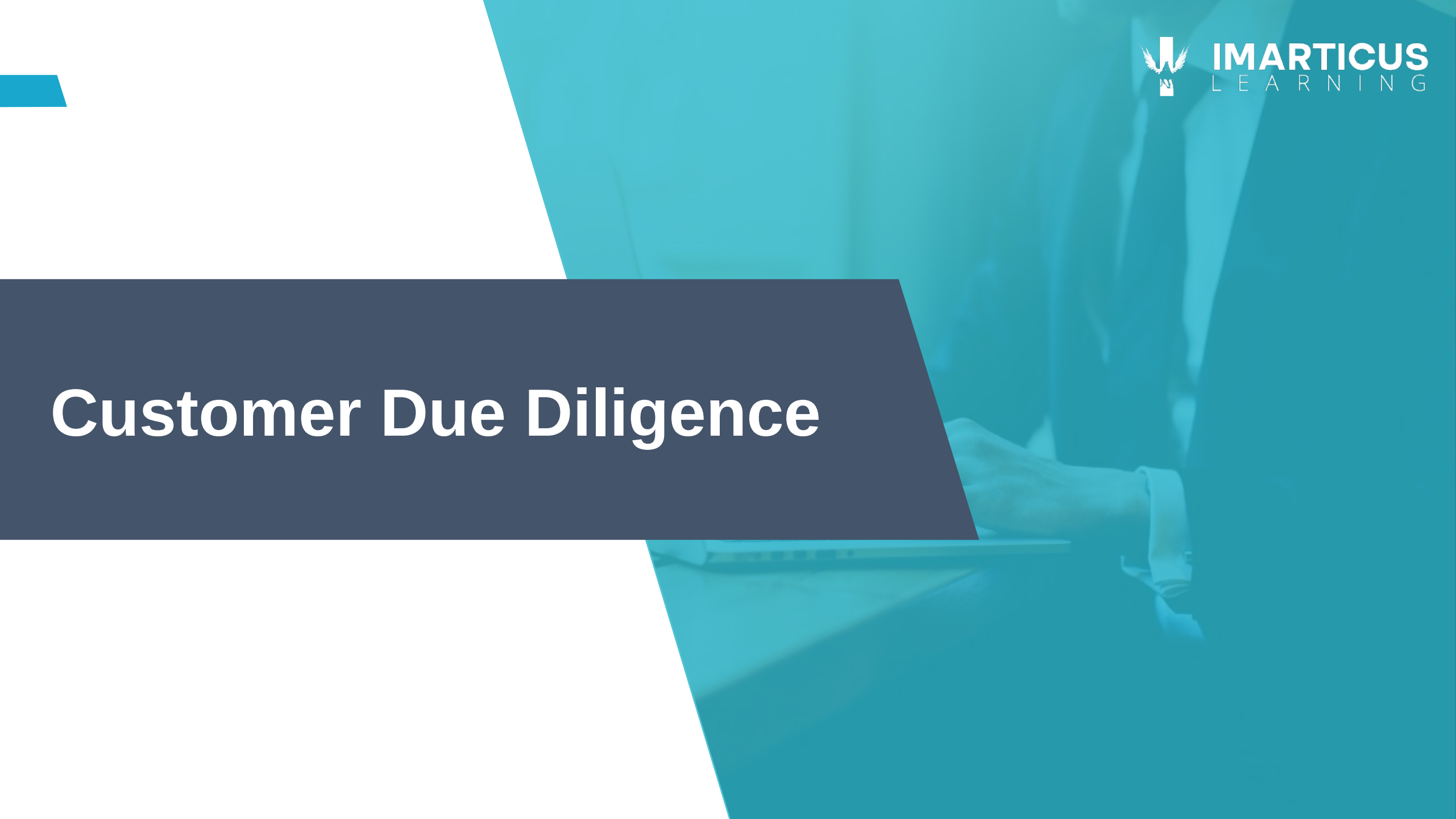
HIGH RISK:
The branches may apply enhanced due diligence measures based on the risk assessment, thereby requiring intensive ‘due diligence’ for higher risk customers, especially those for whom the sources of funds are not clear.

The examples of customers requiring higher due diligence may include:

- Non-Resident Customers
- Trusts, charities, NGOs and organizations receiving donations
- Firms with ‘sleeping partners’
- Those with dubious reputation as per public information available



- Companies having close family shareholding or beneficial ownership
- High Net worth individuals
- Politically Exposed Persons (PEPs) of foreign origin
- Non-face to face customers



Customer Due Diligence

DUE DILIGENCE POLICY

Customer Due Diligences shall be conducted according to a Risk-Based Approach.



DUE DILIGENCE POLICY

Banks should have adequate controls and procedures in place so that they know the customers with whom they are dealing.

Adequate due diligence on new and existing customers should be a key part of these controls.

Inadequate due diligence can stake a bank to:

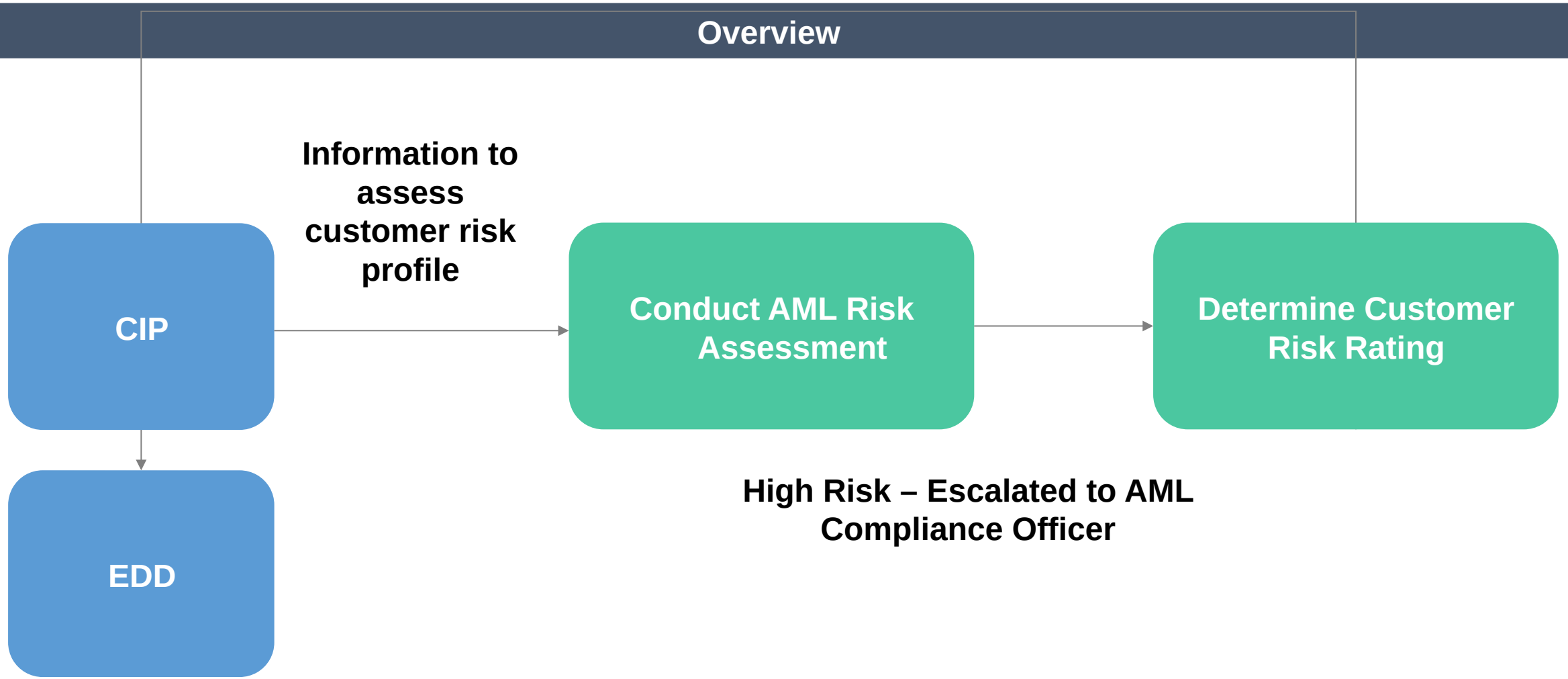
- Operational
- Reputational
- Concentration
- Legal



This can result in significant financial loss.



KYC PROCESS: CUSTOMER DUE DILIGENCE



KYC PROCESS: CUSTOMER DUE DILIGENCE

To determine the relevant risks, information is needed on the customer's:

- Nature of business
- Purpose of account
- Expected pattern of activity (volume, nature of transactions, amounts)
- Origination and destination of funds
- Basic business documentation
- Customer's customers and creditors
- Nominal and beneficial owners of the account
- Business reputation and references
- Other business and personal business interests
- Location of business in relation to bank

KYC PROCESS: BENEFICIAL OWNER

Focus Area: Beneficial Owner

"The natural person(s) who ultimately owns or controls a customer and/or the person on whose behalf a transaction is being conducted. It also incorporates those persons who exercise ultimate effective control over a legal person or arrangement."

Why bother with such 'Beneficial Owners' in the first place?
Should we not simply look at 'Legal Ownership'?

What is meant by 'Effective Control'?



KYC PROCESS: CUSTOMER DUE DILIGENCE

Focus Area: Politically Exposed Persons

“An individual who is or has been entrusted with a prominent public function.”

- The potential risks associated with PEPs justify the application of additional AML/ CFT preventive measures with respect to business relationships with PEPs.
- To address these risks, FATF Recommendations 12 and 22 require countries to ensure that financial institutions and designated non- financial businesses and professions (DNFBPs) implement measures to prevent the misuse of the financial system and non-financial businesses and professions by PEPs, and to detect such potential abuse if and when it occurs.

A politically exposed person does not always mean an individual who directly holds public office, it also includes their immediate family members, close business associates, as well as any senior executives of state owned enterprises.

KYC PROCESS: CUSTOMER DUE DILIGENCE

Focus Area: Politically Exposed Persons



- Members of Parliament



- Heads of State
- Ministers
- Assistant Ministers



- Supreme Courts
- Constitutional Courts
- High Level Judicial Bodies



- High-Ranking Officers

KYC PROCESS: CUSTOMER DUE DILIGENCE

Focus Area: Politically Exposed Persons



- Parents and Children
- Siblings
- Spouse / Partner
- In-Laws
- Uncles and Aunts



- Close business relations / joint beneficial ownership of legal entities or legal arrangements with PEP
- Sole beneficial ownership of legal entity which is known to have been set up for benefit de facto of PEP

KYC PROCESS: CUSTOMER DUE DILIGENCE

Focus Area: Designated Non-Financial Businesses and Professions (DNFBP)

Any business or profession that poses a money laundering risk but cannot be classified as a financial institution.



KYC PROCESS: CUSTOMER DUE DILIGENCE

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Focus Area: Sanctioned entity

There are several types of sanctions.

1	**Economic Sanctions**	Typically, a ban on trade, possibly limited to certain sectors such as armaments, or with certain exceptions (such as food and medicine)
2	**Diplomatic Sanctions**	The reduction or removal of diplomatic ties, such as embassies.
3	**Military Sanctions**	Military intervention
4	**Sport Sanctions**	Preventing one country's people and teams from competing in international events.

And Financial Sanctions……

Economic Sanctions

Economic sanctions are a way to financially isolate a target. Increasingly, countries are using economic sanctions instead of military force as an instrument of foreign policy. Sanctions can generally fall into one of the following categories.

- **Targeted sanctions:** aimed at specifically named individuals, such as key leaders in a country or territory, named terrorists, significant narcotics traffickers and proliferators of weapons of mass destruction. These sanctions often include the freezing of assets and travel bans where possible.
- **Sectoral sanctions:** aimed at key sectors of an economy to prohibit a very specific subset of financial dealings within those sectors to impede future growth.
- **Comprehensive sanctions**: generally, prohibit all direct or indirect import/export, trade brokering, financing or facilitating against most goods, technology and services. These are often aimed at regimes responsible for gross human rights violations and nuclear proliferation.



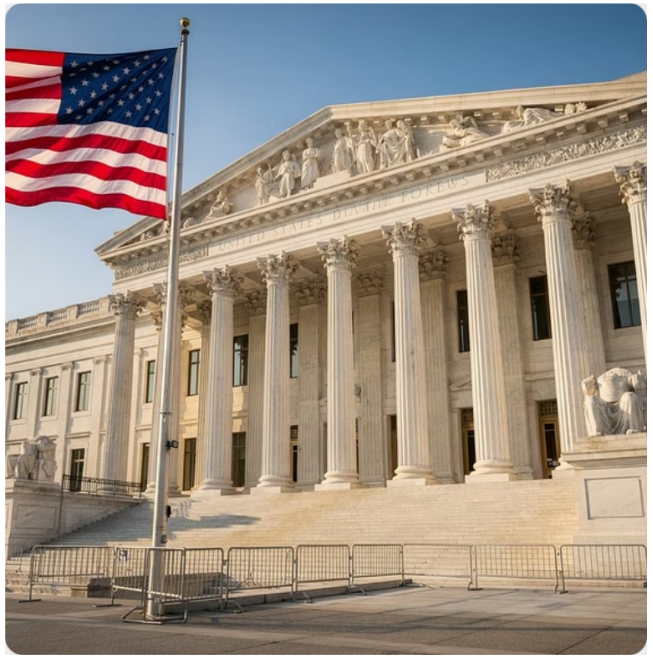
Who Can Put Sanctions :



UNITED NATIONS



EUROPEAN UNION



UNITED STATES - OFAC
(Office of Foreign Assets Control's)

KYC PROCESS: CUSTOMER DUE DILIGENCE

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Focus Area: SDN

- SDNs are individuals and entities located throughout the world that are blocked pursuant to the various sanctions programs administered by OFAC. SDNs can be front companies, parastatal entities, or individuals determined to be owned or controlled by, or acting for or on behalf of, targeted countries or groups.

- The list is managed by the U.S. Treasury's Office of Foreign Assets Control (OFAC).[1] When individuals are added to the list of Specially Designated Nationals (SDN), their U.S. assets are blocked. Moreover, their names are added to automated screening systems used by banks in the United States and many foreign countries, making it difficult for them to open or hold accounts, transfer monies, or transact property internationally.[2] Any individual or entity that provides support related to terrorism, drug trafficking or unauthorized military use to any person or entity appearing on the SDN list risks being penalized under the USA PATRIOT Act.

KYC PROCESS: CUSTOMER IDENTIFICATION

Verification of Information



Documentary	Involves comparing information provided by the customer against official government-issued, state-issued or reputable agency-issued documentation, registration, and licenses.
Non-documentary	Involves validating the customer's identity using third parties or other non-document reports

DUE DILIGENCE POLICY

Financial institutions should be required to undertake customer due diligence (CDD) measures when:

1. Establishing business relations
2. Carrying out occasional transactions beyond a designated threshold
3. There is a suspicion of money laundering or terrorist financing.
4. The financial institution has doubts about the veracity or adequacy of previously obtained customer identification

SIMPLIFIED AND ENHANCED DUE DILIGENCE

Customer due diligences involves:

Identifying the customer and verifying their identity

Know the purpose and intended nature of the business relationship

Conducting ongoing monitoring of the business relationship to ensure that the transactions are consistent with the institution's business and risk profile.

The determined risk level will lead to an adaptation of the level of Customer Due Diligences.



SIMPLIFIED AND ENHANCED DUE DILIGENCE

The meaning of a Risk-Based Approach is that Customer Due Diligences should be adapted to the Anti-Money Laundering and Counter Financing of Terrorism (AML/CFT) risk level of the customer, and therefore should be:

Simplified
When the AML/CFT risk of the customer is low



Standard
When the AML/CFT risk of the customer is medium

Enhanced
When the AML/CFT risk of the customer is high

The purpose of a Risk-Based Approach is to adapt the setup of the bank in order to identify, assess, monitor, manage and mitigate money laundering and terrorist financing risks.

KYC PROCESS: CUSTOMER DUE DILIGENCE

- Enhanced due diligence (EDD) for higher-risk customers is especially critical in **understanding their anticipated transactions** and **implementing a suspicious activity monitoring system.**
- Higher-risk customers and their transactions should be **reviewed more closely at account opening** and **more frequently throughout the term of their relationship** with the bank.

Enhanced Due Diligence

- **Trust, Nominee and Fiduciary Accounts**
- **Accounts opened by intermediaries**
- **Certain Corporate Accounts**
- **Politically Exposed Persons**
- **Correspondent Banking**
- **Introduced Business**
- **Non-face-to-face customers**

WHAT YOU MEAN BY : KYC REMEDIATION

KYC REMEDIATION

- KYC remediation is a more focused process that aims to maintain accurate and up-to-date customer data. It is the process financial institutions use to update and confirm existing customer information to ensure compliance with KYC regulations. These financial sector regulations aim to prevent identity theft, financial fraud, money laundering, and terrorist financing.
- In KYC remediation, the institution reviews its customer records to check if the collected information is current, accurate, and sufficient to assess the customer's risk level.



WHY KYC REMEDIATION IS IMPORTANT ?

IMARTICUS LEARNING

Maintaining up-to-date KYC records is critical for three primary reasons:

Regulatory Compliance

Laws about how money and customer data should be handled are really strict and can change often. If a company doesn't keep up and make sure all their records are correct, they could get in big trouble and have to pay a lot of money as fines. So, following the rules is not just good practice, it's essential for avoiding costly mistakes.

Risk Mitigation

Knowing your customer well isn't just polite; it's also smart business. The better you understand who you're dealing with, the easier it is to spot if something shady might be going on, like attempts to commit fraud. Accurate information allows a company to identify and stop risky transactions before they can cause damage.

Customer Trust

When a company checks a customer's information thoroughly and keeps it safe, the customer feels more secure and trusting towards that company. This trust isn't just about feeling good; it's also the foundation of a long-lasting business relationship. A reliable KYC process tells customers, "We take your security seriously.



Challenges in KYC Remediation

Some of the challenges faced by organizations in implementing a KYC remediation process are detailed under

1. **Regulatory Changes:** Keeping up with constantly evolving regulations can be daunting. This necessitates a proactive approach to compliance, including regular training for staff on new regulations and their implications.

2. **Resource Constraints:** Limited resources can hinder effective remediation efforts. Organizations may need to prioritize remediation initiatives based on the level of risk associated with different customer segments.

3. **Data Volume:** The sheer volume of customer data can complicate remediation processes, making it difficult to maintain compliance. Implementing automated data management solutions can help organizations better handle large data sets.

4. **Outdated customer data:** KYC deficiencies often stem from outdated customer data. As your clients' circumstances change, their information might no longer be accurate. For example, the information becomes inaccurate if a client moves to a new address or changes their employment but doesn't update their profile. This situation can lead to several problems, such as failing to reach the customer for compliance communications or misidentifying risk levels based on old data. Keeping this data current is crucial for maintaining accurate customer profiles and ensuring compliance.

CHALLENGES IN KYC REMEDIATION

To mitigate this risk, ensuring all customer details are complete and correct is essential for effective KYC.

1

Lack of customer verification procedures

Without proper customer verification procedures, errors and fraudulent activities can easily slip through the cracks. Implementing robust verification processes helps catch discrepancies early and maintain the integrity of your data.

2

Manual processes that are slow and error-prone

Manual KYC processes can be a major source of deficiencies. These methods are not only time-consuming but also prone to human error. Automating these processes can help reduce mistakes and speed up compliance.

3

Inadequate training for staff on KYC compliance

Lastly, inadequate staff training on KYC compliance can lead to significant issues. Without proper training, even the best processes can fall short. Ensuring your team is well-versed in KYC requirements helps maintain accurate and compliant data management.



CHALLENGES IN KYC REMEDIATION

To mitigate this risk, ensuring all customer details are complete and correct is essential for effective KYC.

4. Putting the burden on clients

- Consumers generally perceive old-fashioned KYC processes to be a burden the first time around, when they open an account. When banks require existing clients to go through such a process again, it is often met with resistance, dissatisfaction, and even churn. To make things worse, many financial institutions have not shied away from threatening their clients with offboarding deadlines (leading to public displays of outrage on social media, as several recent posts have shown) as well as resorting to intrusive non-digital tactics. For example, one major credit card issuer experimented with sending couriers door-to-door to attempt to re-verify millions of cardholders—a method it quickly found to be prohibitively expensive and time-consuming (not to mention an unwelcome intrusion for customers).

CHALLENGES IN KYC REMEDIATION



To mitigate this risk, ensuring all customer details are complete and correct is essential for effective KYC.

5. Recruiting expensive, untrained staff:

- A common step banks take is to aggressively ramp up the hiring of KYC analysts to handle the workload of a remediation project, either in-house or through a business process outsourcing (BPO) partner. The challenge is that the time pressure and sheer size of such undertakings have a negative effect on both the cost and quality of such hires. It often results in hiring unqualified, inexperienced staff to work through “tick-the-box” exercises.

6. Outdated IT Systems and silos:

- Many traditional banks are encumbered by complex legacy IT systems, through which it is notoriously difficult to gather and look at data holistically. There have been examples at prominent global banks where the KYC team is examining one set of data, the fraud team another and the transaction monitoring team a third—with no sharing of data between the three teams, which is a sure shot receipt for disaster.

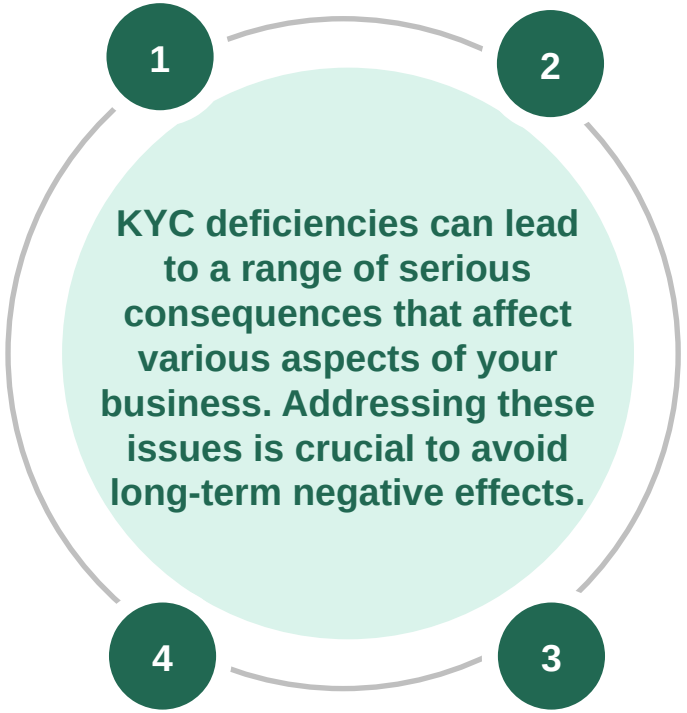
THE IMPACT OF KYC DEFICIENCIES

Regulatory fines and penalties

One of the most immediate impacts of KYC deficiencies is the risk of hefty fines and penalties. Regulatory bodies impose these financial penalties for non-compliance with KYC and AML regulations. The fines can be substantial, reflecting the seriousness of the lapses.

Increased risk of fraud and money laundering

Deficiencies in KYC processes elevate the risk of fraud and money laundering. Inaccurate or outdated information can allow criminals to exploit gaps in your system, jeopardizing your compliance status and exposing you to further financial and legal risks.



Reputational damage

Another significant consequence is reputational damage. Customers and partners lose trust when they see a company has poor KYC practices. Rebuilding a damaged reputation takes time and effort, often involving costly public relations campaigns.

Operational disruptions

Operational disruptions also arise from KYC issues. For example, dealing with regulatory investigations or audits can divert resources from day-to-day operations. This can affect overall efficiency and productivity within the organization.

STEPS IN KYC REMEDIATION

The KYC process in banking typically involves:

1

Identify customers with missing or outdated information

- The first step is to identify which customers have missing or outdated information. The FI can begin by scrutinizing their customer database to find missing, outdated, or inaccurate data, and to spot records that require updates. This could mean looking for expired documents, incomplete data, or discrepancies.
- This identification phase is crucial as it sets the stage for remediation, ensuring you address all relevant cases.



STEPS IN KYC REMEDIATION

The KYC process in banking typically involves:

2

Risk-stratifying customers

- After identifying the customers who need updates, the next step is to stratify them based on their risk level. Reassessing the customer's risk profile based on the updated information could involve adjusting their risk level and monitoring the intensity of their activities. This process may also include enhanced due diligence, especially for customers classified as higher risk, to ensure a more thorough understanding of their financial activities and background.
- Risk stratification helps prioritize your efforts by categorizing customers into different risk categories—high, medium, or low.
- High-risk customers, such as those involved in larger transactions or those from regions with higher AML risks, should be prioritized for more immediate and thorough reviews. You can review lower-risk customers less frequently. This stratification allows you to allocate resources more efficiently and focus on the most critical areas.



STEPS IN KYC REMEDIATION

The KYC process in banking typically involves:

3

Collect and verify customer information by contacting customers

- With the risk-stratified list in hand, the next step is to collect and verify updated customer information. Reaching out to customers to obtain updated information, such as proof of identity, address, occupation, and source of funds, as well as to request any missing documents, such as proof of identity or residence. It's essential to ensure that this information is accurate and comes from reliable sources.



STEPS IN KYC REMEDIATION

The KYC process in banking typically involves:

4

Verification

- Customer identity remediation is the process of updating and verifying a customer's identity information to ensure accuracy and compliance with regulatory standards. This step verifies the authenticity of the information provided by the customer against reliable, independent sources. Verification might involve checking documents against government databases or other trusted records to confirm authenticity.
- Proper verification helps prevent fraud and ensures compliance with regulatory standards.



STEPS IN KYC REMEDIATION

The KYC process in banking typically involves:

5

Implement ongoing monitoring

- Finally, establishing a robust system for ongoing monitoring to maintain the accuracy of customer data, is critical to the entire process. This ongoing monitoring should be part of the FIs standard procedures to ensure the KYC processes remain effective over time.
- Setting up automated alerts or scheduled reviews can help streamline this process and ensure that updates are made promptly. Implementing ongoing transaction monitoring processes to ensure continuous compliance.



BENEFITS OF EFFECTIVE KYC REMEDIATION

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Effective KYC remediation offers several key benefits that enhance both compliance and customer satisfaction

Improved regulatory compliance

Staying on top of KYC remediation helps you adhere to ever-changing regulations, reducing the risk of facing hefty fines and legal issues.

Reduced risk of fraud and money laundering

By regularly updating and verifying customer information, you minimize the chance of fraud. Effective KYC practices help prevent money laundering activities, keeping your business secure.

Enhanced customer relationships

Maintaining accurate records and communicating effectively builds customer trust. It shows you are attentive to their needs and committed to their security.

Increased operational efficiency

Streamlined KYC processes lead to faster data handling and fewer errors. This efficiency translates to cost savings and better resource management.

BEST PRACTICES FOR KYC REMEDIATION



1

Establish a clear and documented KYC remediation process

- The FI should begin by setting up a clear, documented KYC remediation process. A well-defined procedure ensures that everyone in the organization understands their role and responsibilities. Documenting each step helps maintain consistency and makes it easier to track progress.
- Studies indicate having a documented compliance process can improve testing efficiency by up to 75%. This clear process should detail how the FI would conduct KYC checks, including how they plan to handle both initial and re-KYC.

2

Reviewing The Existing Information

- The KYC remediation starts with monitoring and reviewing the existing information about the customers, their business, their beneficial owners, etc., available with the regulated entity. Only when these details are checked meticulously, the regulated entity detect the gaps in the customer information and discrepancies with the transaction profile of the customer and spot any outdated information, expired, or no longer impacting the customer’s risk rating.

BEST PRACTICES FOR KYC REMEDIATION



3

Obtaining And Validating the Additional/ Revised Information

- Once the existing information is reviewed and gaps are identified, the entity must obtain the required additional details, documents, etc., from the customer or any other reliable sources. The legitimacy and the accuracy of the information sought must be established.
- The revision of the customer information must be well documented, with the date and time stamp and the reason that required modification of the customer profile. This must also include a reference to the sources used for such additional information.

4

Updating The Customer's Risk Profile

- Once the revised information about the customer is obtained and validated, the same must be mapped with the customer's existing risk categorization and evaluated as to whether these revised details require updating the customer's overall risk profile. This is essential for determining if the level of financial crime risk the customer poses varies or whether the existing risk classification holds good.

BEST PRACTICES FOR KYC REMEDIATION

5. Performing Additional Risk Mitigation Measures

- If there is a change in the customer's risk profiling, the regulated entities must assess the need to deploy the increased due diligence and risk mitigation measures. This may involve adopting the Enhanced Due Diligence process or subjecting the customer to a frequent, ongoing transaction monitoring program.
- Further, the regulated entity must ensure that the KYC remediation process is conducted keeping the relevant stakeholders in the loop, i.e., the AML Compliance Officer, the customer relationship managers to handle the communication with the customers transparently, and the overall compliance team to process the data and customer information timely.



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BEST PRACTICES FOR KYC REMEDIATION

6. Leverage automation and technology

- The FI should aim to utilize automation and technology to streamline their KYC remediation process. Tools such as AI and machine learning can handle large volumes of data more efficiently than manual processes. According to a McKinsey report on the future of work, businesses are expected to increasingly adopt automation and AI technologies.
- Automation can quickly identify discrepancies and update records, reducing human error and saving time. For instance, AI-driven systems can automatically flag high-risk transactions and perform real-time data verification, which enhances accuracy and speed. This approach not only speeds up the process but also cuts down operational costs.
- e-KYC solutions further simplify this by providing electronic methods for identity verification and document management.
- To stay on top of KYC regulations, FIs should aim to automate as much of the remediation process as possible. Automated systems can flag inconsistencies or changes in customer profiles that require further investigation, streamlining the initial screening process and reducing manual workload.
- Streamlining KYC with automation and straight-through processing reduces manual rekeying, human error, and operational costs. It also ensures regular and timely data updates, enhancing overall customer service for active and high-volume transaction clients.



Private and Confidential

BEST PRACTICES FOR KYC REMEDIATION



7

Train your staff on KYC compliance procedures

- Regular training ensures that the FIs team is up-to-date with the latest regulations and best practices. Effective training programs can help reduce errors and improve overall compliance.
- According to Finextra, investing in staff training can decrease compliance-related errors by up to 18%. Staff should be familiar with both traditional KYC and digital KYC practices, ensuring they understand how to handle various types of customer data and verification processes.

8

Communicate effectively with customers

- It is crucial for the FI to maintain clear communication with customers throughout the remediation process. Inform them about any required updates or changes and provide guidance on how to submit their information.
- Transparent communication helps build trust and ensures a smoother process. For example, regular updates and clear instructions can enhance customer satisfaction and cooperation, especially when transitioning to new KYC integration systems or updating their E-KYC information

BEST PRACTICES FOR KYC REMEDIATION



9. Leverage technology for effective remediation

- Technology can significantly boost an FIs KYC remediation efforts. Tools like HyperVerge are designed to streamline this process by offering advanced data verification and document management features. HyperVerge utilizes AI to automate identity verification and document validation, improving accuracy and efficiency.
- To effectively manage and analyze large volumes of customer data, the FI should utilize advanced technology and software. Solutions like Fenergo KYC are designed to handle vast amounts of information with efficiency and precision. This technology is adept at meeting both local and global enhanced due diligence requirements throughout the entire KYC lifecycle. It includes features for a risk-based approach, essential for maintaining ongoing compliance with KYC regulations.
- The use of sophisticated software streamlines the process of identifying outdated or incomplete KYC profiles that require remediation. By automating the analysis of vast datasets, these systems can quickly pinpoint areas needing updates, significantly reducing the time and effort involved in manual data review.

Private and Confidential



CONCLUSION & FUTURE OUTLOOK OF KYC REMEDIATION

- **Continuous Evolution of KYC Compliance:** Regulatory requirements are constantly evolving, and financial institutions must adopt a proactive approach to remediation. Regular updates to customer data are essential to maintaining compliance.
- **Increasing Regulatory Scrutiny:** Authorities worldwide are imposing stricter penalties for non-compliance, making it crucial for firms to implement efficient remediation processes to avoid fines and reputational damage.
- **Role of Technology in the Future of KYC:** AI, machine learning, and blockchain are expected to play a larger role in automating KYC remediation, reducing manual efforts, and enhancing accuracy in customer verification.
- **Enhanced Customer Experience:** Institutions must strike a balance between compliance and customer convenience by leveraging digital onboarding and secure authentication methods.
- **Global Standardization Efforts:** Cross-border financial regulations are moving towards greater harmonization, which will require companies to develop a standardized approach to KYC compliance.
- **Future Challenges and Opportunities:** Organizations will need to manage rising data privacy concerns while maintaining transparency and efficiency in the remediation process. Adopting predictive analytics can help in identifying risks proactively and improving compliance frameworks.

CASE STUDIES ON KYC REMEDIATION

NatWest's £264m fine for overlooking red flags (2021)

In December 2021, NatWest made headlines when it was fined £264.8 million after pleading guilty to serious breaches of AML regulations relating to KYC lapses. This case involved a staggering £365 million in cash deposits over five years from a single customer, yet the bank failed to act on repeated red flags.

The customer in question, a small Bradford-based business, deposited large sums of cash across its accounts between 2011 and 2016 – amounts that were clearly disproportionate to the scale of the business. The cash deposits reached as much as £1.8 million on some days, which should have triggered immediate scrutiny. Yet, NatWest failed to investigate properly, or request the customer for a KYC refresh, and the suspicious activity continued unchecked.

***Key takeaway:** When a client's transaction behavior deviates significantly from what is expected – whether that's in terms of volume, frequency, or origin – KYC teams must act swiftly.*

AML programme need to employ risk-based approaches, where resources are focused on clients and transactions that pose the highest risk. In NatWest's case, the failure to ask key questions and scrutinise cash-heavy deposits led to the breach. The KYC team should ensure that high-risk accounts are subject to ongoing monitoring and prompt investigations whenever red flags arise.

CASE STUDIES ON KYC REMEDIATION

Binance's $4.3bn fine for crypto AML and sanctions failings

The world's largest cryptocurrency exchange, Binance, faced its most significant regulatory blow yet with a $4.3 billion fine for breaking AML laws, deficient KYC and violating sanctions. U.S. authorities found that Binance had failed to implement sufficient Know Your Customer (KYC) and AML procedures, allowing billions in illicit funds to move through its platform.

The platform was found to have allowed over 100,000 illegal transactions, facilitating money laundering on a massive scale, linked to criminal activities including terrorism and human trafficking. The exchange's lax approach to regulatory compliance put the entire crypto industry under greater scrutiny as a result and set a new benchmark for enforcement in the digital asset space.

***Key takeaway:** The rapidly changing cryptocurrency landscape presents unique challenges for AML teams, requiring unique compliance measures beyond traditional banking approaches. Compliance teams must understand the distinct nature of digital assets, including the pseudonymous and decentralized aspects of cryptocurrency transactions, which make traditional monitoring methods insufficient. This requires investing in specialized analytics tools that can identify, vet, and verify each individual or corporate customer before they are able to carry out transactions, and ensuring round-the-clock monitoring throughout their time on the exchange.*



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THANK YOU !!!

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